

MNI POLITICAL RISK ANALYSIS - US Daily Brief 10-03-25

by Adam Burrowes

The White House *(times subject to change)*

14:00 ET 18:00 GMT	President Trump holds a Roundtable with Technology CEO Council
15:00 ET 19:00 GMT	President Trump signs Executive Orders in the Oval Office
17:00 ET 21:00 GMT	President Trump holds a Ceremonial Swearing-In for the Director of the United States Secret Service

KEY DATES:

- ❖ Government funding expires: 04 days

Trump Administration

At 14:00 ET 18:00 GMT, President Donald Trump is scheduled to hold a roundtable with his Technology CEO Council in the Roosevelt Room.

- Later in the afternoon, Trump will hold another of his Executive Order signing sessions in the Oval Office and then swear in Sean Curran as the Director of the United States Secret Service. As usual, markets will be on high alert for news headlines hitting wires during any ad hoc remarks to the press.

Trump made headlines yesterday by refusing to rule out a recession. Trump told Fox News, when asked if he's expecting a recession this year: "I hate to predict things like that. There is a period of transition, because what we're doing is very big."

- Bloomberg notes: "While declining to address the question, Trump's response broadly aligns with his speech to Congress last week and a flurry of recent comments from top administration officials, including Treasury Secretary Scott Bessent."
- Axios writes that Trump, "believes it's worth risking pain to achieve his medium-term goal of rewiring the U.S. economy. He's attempting a form of economic shock therapy, while accepting there could be collateral damage... That willingness to shrug off risks of inflation or recession is now rattling financial markets and confidence — and has emerged as the biggest near-term economic risk."

Bessent has provided in-depth comments to the press in recent days. His speech to the [Economic Club of New York](#) provided some clarity on the administration's tariff strategy.

- Bessent expanded in a [lengthy interview with CNBC](#), warning that Trump's economic recalibration will prompt "an adjustment." He added: "We'll see whether there's pain."

Commerce Secretary Howard Lutnick told NBC yesterday there is “absolutely not” going to be a recession in the United States. Lutnick added: “Donald Trump is a winner. He’s going to win for the American people. That’s just the way it’s going to be... There’s going to be no recession in America,”

- Lutnick said on tariffs: “Global tariffs are going to come down because President Trump has said, ‘You want to charge us 100 percent? We’re going to charge you 100 percent.’ And you know what they say? They say, ‘No, no, no, no, no, don’t charge us 100 percent. We’ll bring ours down,’”

Trade

Chinese retaliatory tariffs on US agricultural imports took effect today, marking the latest escalation of Trump’s trade war. Trump’s tariffs on steel and aluminium imports are expected to be put in place on Wednesday.

- The New York Times notes: “The Chinese tariffs will include a levy of 15 percent on U.S. products like chicken, wheat and corn, as well as 10 percent on products like soybeans, pork, beef and fruit.”
- Semafor notes: “Beijing targeted its levies against American farm products after the US imposed across-the-board tariffs, a strategy that analysts said left open the possibility of bilateral negotiations.”
- Patricia Kim, a fellow at the Brookings Institution, said: “There’s just overall confusion [in China] about the Trump administration’s real intentions, whether it’s genuinely seeking a deal or simply going to escalate tensions. [China] want[s] to know what kind of deal Trump is looking for and what his end game is.”

The Washington Post reports: “Unlike the leaders of Canada and Mexico — [Chinese President Xi Jinping] has not had a conversation with Trump in his second term. That might be because Xi is unlikely to risk direct negotiations until he is certain of results, Chinese experts said — and Trump’s unpredictability makes that difficult.”

- Incoming Canadian Prime Minister Mark Carney said: “America is not Canada. And Canada never, ever will be part of America in any way, shape or form.” Carney added: “The Americans want our resources, our water, our land, our country... In trade, as in hockey, Canada will win.”

Kevin Hassett, Director of the White House National Economic Council, told CNBC this morning that there are reasons to be “bullish” about the US economy, despite some “blips”. He noted that “trade policy uncertainty” will be resolved in early April, when Trump makes his final determination on reciprocal tariffs.

- Hassett said Trump’s trade policy is starting to have intended effect of bringing manufacturing and jobs back to the United States. He added that markets should be “wary of recession talks,” and he expects the first quarter to “squeak into positive category”.
- Reuters reports that EU Trade Commissioner Maroš Šefčovič told reporters this morning that the US “does not seem to be engaging in reaching a trade deal with EU”.

- Šefčovič added: “We want a constructive, positive relationship with US, our doors are open for engagement... without a positive result we will always protect European consumers, businesses from unjustified tariffs.”
- The Hoover Institution and YouGov [published a survey](#), finding that respondents, “who believe foreign companies or countries are responsible for paying the tariffs are much more likely to support tariffs than those who believe domestic sources pay the tariffs.”

Figure 1: Trump’s North America Trade Actions



Source: New York Times

Government Funding

The federal government will partially shut down at midnight on Friday, if Congress doesn’t legislate a new funding measure. House Speaker Mike Johnson (R-LA) released the final text of his year-long funding bill on Saturday.

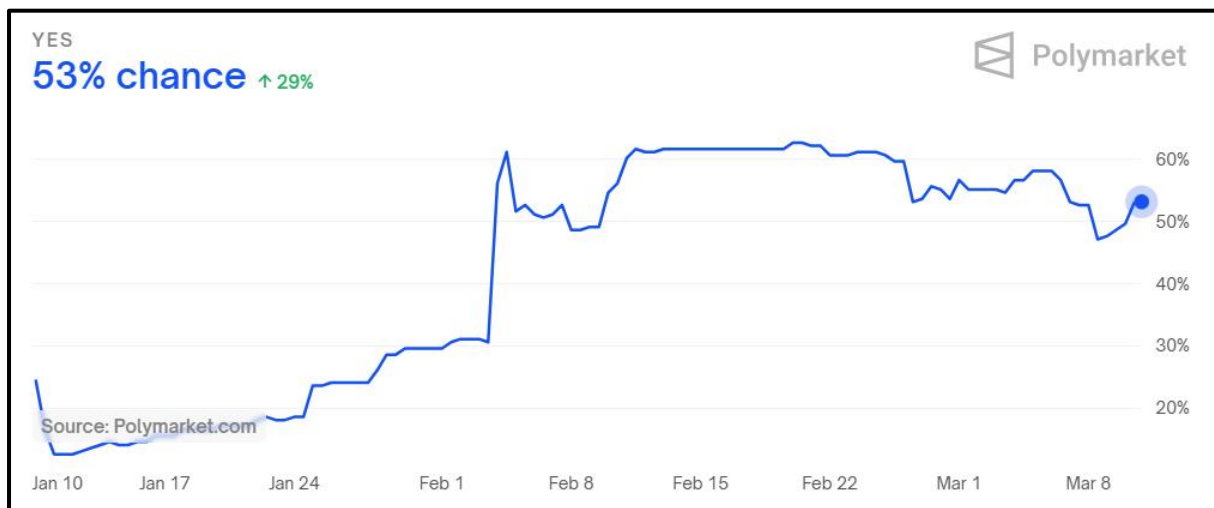
- Johnson’s [99-page bill](#), which would extend funding through September 30, is less ‘clean’ than many Democrats were expecting. It reauthorises government funding at Biden-era levels, includes roughly USD\$6 billion in new spending for border security, and cuts non-defence spending by USD\$13 billion.
- Notus reports: “Overall, the legislation reduces spending by \$8 billion, though it doesn’t codify any of the cuts made by Elon Musk’s Department of Government Efficiency.”
- Johnson is expected to move the bill through the House Rules Committee this afternoon, before a full House vote likely to take place on Tuesday. The baseline expectation is that Johnson will find sufficient support in the House to pass the package along party lines.

- House Minority Leader Hakeem Jeffries (D-NY) issued a whip notice on Saturday urging Democrat House reps to vote down the bill: “At a time when Republicans are seeking to kick children off health coverage to pay for tax cuts for billionaires, the CR would remove most guardrails that direct where funds should be spent. It would allow the White House to accelerate its dismantling of critical services...”

Should it pass the House, the package will then be passed to the Senate where Majority Leader John Thune (R-SD) will need to find at least eight Democrat Senators willing to back the measure.

- Punchbowl notes: “It doesn’t feel like a shutdown is going to happen, although there’s still a chance because, well, this is Congress. Every time we think we’ve reached new levels of silliness, lawmakers up the ante.”
- Trump said on Truth Social: “The House and Senate have put together, under the circumstances, a very good funding Bill (“CR”)! All Republicans should vote (Please!) YES next week... We have to remain UNITED — NO DISSENT — Fight for another day when the timing is right. VERY IMPORTANT. MAKE AMERICA GREAT AGAIN!”]
- Trump later told reporters on Air Force One: “I think the CR is going to get passed,” he told reporters aboard Air Force One. “We’ll see. But [a shutdown] could happen.”

Figure 2: Government Shutdown in 2025, %Implied Probability



Source: Polymarket

Congressional Business

The House is in

The Senate is in

- ❖ The Senate will vote to confirm Lori Chavez-DeRemer as Secretary of Labor and advance the HALT Fentanyl Act at 17:30 ET 21:30 GMT.

Committee Schedule –

- 16:00 ET 21:00 GMT: HOUSE Rules Meeting: The panel will vote to advance the government funding bill.

Economy

Wall Street executives are starting to take seriously the idea that Trump is seeking a new currency accord to depreciate the dollar in return for security guarantees, known colloquially as the 'Mar-a-Lago accord'.

- Semafor notes: "The "Mar-a-Lago accord" would see Washington offer allies defense guarantees and respite from tariffs in exchange for help in weakening the US currency, in order to make American exports more competitive."
- As noted in previous editions of this newsletter, Stephen Miran, Trump's nominee to serve as Chair of the White House Council of Economic Advisors, provided a blueprint for Trump's vision in a [November 2024 essay](#) entitled "A User's Guide to Restructuring the Global Trading System".

The Financial Times [reports](#): "The idea is sparking endless gossip among financiers. Or as the Aberdeen investment group recently told clients: "There has been speculation about a new Plaza Accord — dubbed the 'Mar-a-Lago Accord' — to depreciate the US dollar." Indeed, some traders expect it this year."

- The FT suggests that there are considerable headwinds to such an accord, namely US allies' increasingly hostile posture towards the Trump administration, the mainstream economic position opposed to such interventions, and likely effect of Trump's tariffs bolstering the dollar.
- Apollo's Chief Economist Torsen Slok [said in a note](#) yesterday that the proposal raises three questions: "Can the US achieve the long-term gain without too much short-term pain?" ... "Will a more segmented global economy with a much bigger manufacturing sector in the US put too much upward pressure on US inflation?" and "What are the incentives for the rest of the world to sign a Mar-a-Lago Accord?"

Figure 3: "What is the Mar-a-Lago Accord?"

The US gives the rest of the world:	The US gets from the rest of the world:
1. Security	1. A weaker dollar
2. Access to US markets/US consumers	2. A bigger manufacturing sector
	3. Existing US Treasury debt swapped to new Treasury century bonds
Two tools to achieve such an outcome:	
1. Tariffs to grow the US manufacturing sector and to exert pressure on countries to sign the Mar-a-Lago Accord	
2. A US sovereign wealth fund that can be used to sell foreign currencies to depreciate the dollar	

Source: Apollo

Tax

Semafor reports that Republicans on the House Ways and Means Committee, “are gearing up for all-day meetings today and Wednesday to hash out how to enact Trump’s tax agenda without spending more than their budget proposal dictates.”

- Semafor notes: “Lawmakers must find a way to extend expiring cuts while also enacting new proposals, like no tax on tips and overtime pay — all while staying within the \$4.5 trillion cap greenlit by deficit hawks.”

The New York Times’ [DealBook](#) reports that Trump may be preparing to take another run at closing the carried interest rule, which allows certain financial services institutions to pay roughly 20 percent tax on their profits. The chatter has prompted a major lobbying effort from private equity firms.

- Dealbook notes: “What’s different this time: It’s hard to decipher how serious Trump is about killing it. Trump has long railed against carried interest, saying a decade ago that hedge fund managers exploiting the tax code were “getting away with murder.”
- “Eliminating carried interest would save the government an estimated \$14 billion over 10 years, according to the nonpartisan Congressional Budget Office. Trump is on the hunt for far bigger savings if he is to pass his “big, beautiful” tax bill in coming months without blowing up the deficit.”
- The Times adds: “Trump’s disdain for carried interest is a rare fracture between him and Republican lawmakers. Traditionally, Democrats have been behind efforts to kill it, and when Trump renewed his call to eliminate carried interest this month, congressional Democrats — not Republicans — were ready with stand-alone bills to do just that.”

Russia-Ukraine

Ukrainian President Volodymyr Zelenskyy is in Saudi Arabia today for a meeting with Saudi Crown Prince Mohammed Bin Salman. This meeting comes a day before talks get underway in the port city of Jeddah involving US Secretary of State Marco Rubio, Middle East envoy Steven Witkoff and National Security Adviser Mike Waltz and Zelenskyy’s head of office Andriy Yermak, Andriy Sybiha, the foreign minister, Rustem Umerov, the defence minister, and Pavlo Palisa, a senior security advisor. Witkoff has said that the US is looking to discuss a “peace framework” with Ukraine.

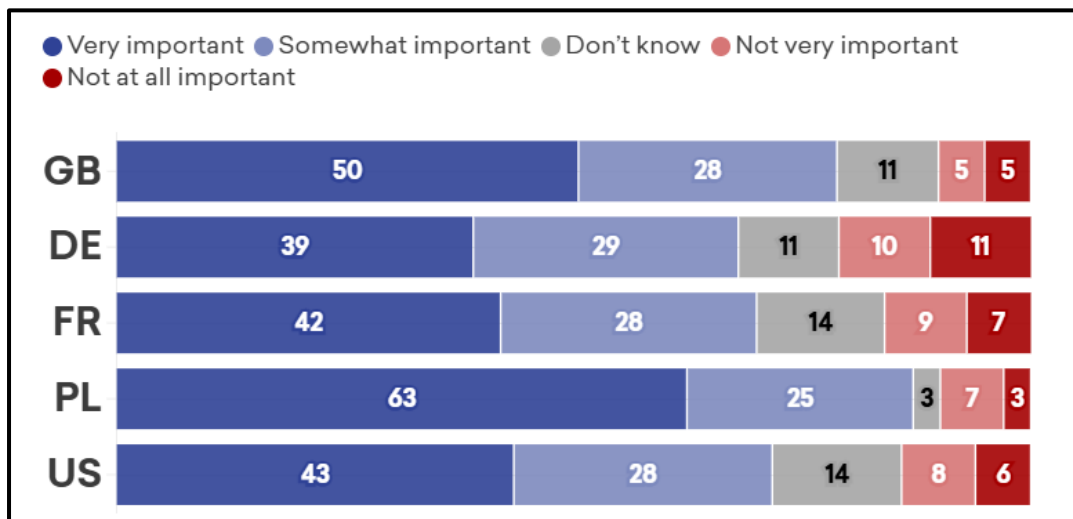
- Russia will not participate in the talks, and, indeed was never due to have taken part in these US-Ukraine discussions.
- Speaking on Air Force One on 9 March, President Trump said regarding the talks, “I think you’re gonna have eventually — and maybe not in the distant future — you’re gonna have some pretty good results coming out of Saudi Arabia this week.”
- Reuters reports that the US will use the talks “in part to determine whether Ukraine is willing to make material concessions to Russia to end the war,” and “will also be watching for signs that the Ukrainians are serious about improving ties with the Trump administration after a meeting [...] devolved into an argument last month,”

Chart of the Day

A “[major new study](#)” from More in Common based on polling of 7,000 people across France, Germany, the UK, The US and Poland has found that, “despite the breakdown in relations between Donald Trump and his Ukrainian counterpart Voldoymyr Zelenskyy, there remains strong public support for Europe to stand by Ukraine.”

- The report notes: “The poll found that while the British public tends to be even more supportive of Ukraine than their European counterparts, strong majorities in every nation surveyed believe Ukraine's defence is important to their country.”

Figure 4: “Thinking about the war in Ukraine, how important is it for (your country) that Ukraine defends its sovereignty against Russian aggression?”



Source: More in Common

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